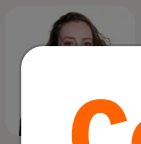
While stablecoin adoption could significantly affect European banks, including by shifting their funding base, the sector could also benefit from the technology by issuing its own tokens. Upcoming regulatory changes could alter the impact of stablecoins on banks, but we should not expect banks to surrender ground to fintech issuers without a fight



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Stablecoins' market capitalisation has grown significantly over the past two years. This growth has drawn widespread scrutiny, including from regulators, as it raises concerns about financial stability. Banks have also paid closer attention to the sector as it could represent both new risks and opportunities.

In this piece, we review the potential impact stablecoins could have on the European banking sector. This is especially relevant as multiple regulatory changes are expected in 2027. The EU is reviewing its Markets in Crypto-Assets Regulation (MiCAR), which

could affect the estimated impact of stablecoins on the banking sector. Across the Atlantic, the regulatory landscape could also change next year. Discussions could result in the US allowing stablecoin issuers to directly distribute rewards, which would be a first.

Overall, while the future of stablecoins is still uncertain, they promise to remain in the spotlight in 2027. We show that despite multiple risks identified, European banks are unlikely to surrender ground to fintech stablecoin issuers without a fight.

What are stablecoins?

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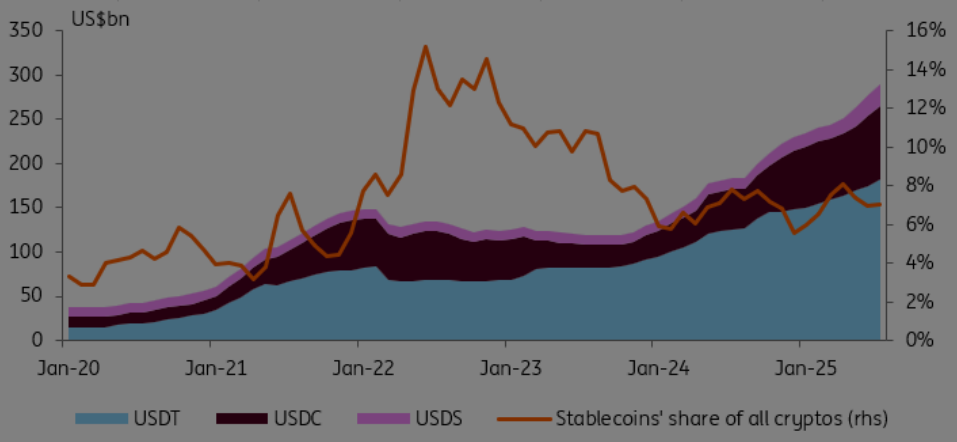
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by, for example, bank deposits, the rapid growth of the sector over the past five years (up by US$250bn) has drawn a lot of attention.

Selected stablecoins' market capitalisation over time & share of all cryptocurrencies



USDT = Tether, USDC = Circle, USDS = Sky Protocol

Source: ING Research, IMF

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policy. In this piece, we will focus specifically on potential implications for the banking sector.

Stablecoins impact on banks: Threat, opportunity, or both?

In this section, we explore the potential implications of a broad use of stablecoins beyond the crypto landscape and into payment systems for banks. Despite US dollar stablecoins currently dominating the market, our main assumption is the widespread adoption of euro-denominated stablecoins in Europe.

While stablecoins are often presented as a challenge for the banking sector, we review here five potential implications, not all of which are negative for financial institutions.

1 A change in banks' funding

To discuss the consequences of an uptake in stablecoin adoption on banks' funding, two variables must be considered:

1. Which assets are used to buy stablecoins
2. What type of reserves are required by the regulation

If most users acquire stablecoins by redeeming liquid investments, t
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issuers. Stablecoin adoption would therefore not translate into a net drop in funding for banks but rather in a shift in their funding base, where retail and corporate deposits would come back in wholesale form (more specifically as financial institution deposits).

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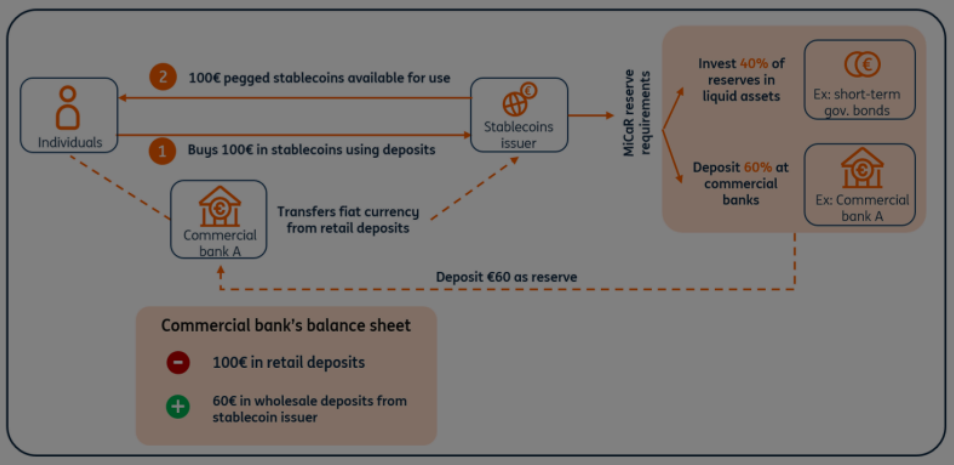
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Illustration of banks' funding shift through stablecoins adoption using retail deposits*



*stylized example using MiCAR for systemic issuers

Source: Source: ING

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economic cycles.

To date, all main regulations in place ban stablecoin issuers from directly remunerating holders. Therefore, an environment in which interest rates are lowered (or even approach zero) would make holding stablecoins more attractive for users, as the difference with holding a deposit account is reduced. This could trigger sudden stablecoin adoption and a quick shift in banks' funding.

The opposite scenario could also pose challenges for banks. As interest rates increase, the attractiveness of holding stablecoins diminishes. This could lead to sudden redemption requests from

stablecoin holders, forcing issuers to liquidate reserves held at banks. As a result, financial institutions could face an outflow of stablecoin issuers' deposits with a simultaneous inflow of retail deposits, adding volatility to their funding profiles.

In either case, these funding changes and substitution dynamics could make banks' funding management more complex, costly and difficult to predict. However, as long as regulation prevents stablecoin issuers from directly remunerating holders, the effect of economic cycles is expected to remain muted, as stablecoins only become attractive as a deposit-like instrument in the case of a very low interest rate environment.

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translate into a funding shift for European banks but rather into a net outflow of deposits.

Indeed, these funds could flow to US stablecoin issuers, which would place the safe assets as required under US regulation. In other words, this would translate into a net outflow of European deposits towards the US economy. Aside from the monetary policy impact, European banks would be required to turn to alternative and more expensive sources of funding to compensate for the outflow of retail deposits.

However, EU banks can also play a central role in the issuance and adoption of EUR-denominated stablecoins to counter that effect, as we discuss below.

2 Pressure on credit provision

In addition to changing banks' funding base, broad stablecoin adoption could also negatively impact credit provision through several channels.

In a scenario where banks see a funding shift towards greater reliance on wholesale deposits, higher liquidity requirements may push them to take more conservative risk decisions. Research has s
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ratios, as well as those close to regulatory thresholds, could be more inclined to pass higher funding costs on through lending conditions in order to remain within regulatory thresholds.

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3 Concentration and spillover risks

A growing discussion among regulators centres on concentration risks. As stablecoin issuers are required to hold part of their reserves as deposits with commercial banks, financial institutions could increasingly rely on their deposits for funding**. As the proportion of banks' funding coming from a small number of stablecoin issuers increases, so does concentration risk.** This impact may become

substantial if stablecoin adoption is both significant and concentrated among a handful of issuers.

Concentration could also arise if stablecoin issuers maintain relationships with only a limited number of banks, those with both the technical capabilities and willingness to engage with the sector. This could create pockets of concentration on both sides of the business, introducing new systemic risks for the banking sector.

Regulators across the globe have been increasingly attentive to the development of stablecoins. However, as concentration risks between banks and stablecoin issuers potentially emerge, they

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remains 'fit for purpose' following its initial implementation and recent market developments. In September, the ECB, alongside the 27 EU national central banks, submitted a recommendation to drop the requirement for stablecoin issuers to hold deposits at commercial banks.

Instead, the European System of Central Banks proposes implementing a minimum percentage of assets maturing within one to five working days to be held by the stablecoin issuer. This is said to lower both concentration and spillover risks. However, it

could further accentuate the impact on banks' funding by transforming a funding shift into a net deposit outflow.

Stablecoin and, more generally, crypto asset regulations are still emerging globally. Other regulators have highlighted the risks that links between stablecoins and the banking sector could create. The most striking example comes from the UK, where the Bank of England announced that it aims to ban stablecoin issuers from holding reserves at commercial banks, specifically to mitigate spillover risks in case of a shock. As stablecoin usage continues to rise, we can expect further changes to the regulatory landscape globally.

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their deposit accounts; however, this would have an impact on their profitability.

Therefore, the critical response to the rise of stablecoins lies instead in innovation. Indeed, crypto assets' main advantage lies in their speed and limited costs, but banks are already showing they can innovate to compete. The European payment landscape is relatively cheap and fast despite being heavily fragmented. Some national payment systems exist, but a large share of transactions are processed through non-EU providers. Stablecoins' promise to process payments (nearly) instantly and at extremely low costs,

even across borders, could put pressure on existing systems. However, banks and payment system providers are already exploring ways to compete and experimenting with new digital transaction methods.

One example lies in tokenisation. Tokenised assets are digital representations of real-world assets on a distributed ledger infrastructure. A wide range of assets can be tokenised, but most banks are experimenting with deposit tokenisation. These could modernise payment and settlement infrastructures as well as intragroup liquidity management. They promise faster settlement, 24/7 transactions, programmability and lower operational frictions.

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5 Banks' role in stablecoin adoption

While we have explored in depth the impact stablecoins could have on the banking sector upon broad adoption, **it's important to highlight that banks also play a role in the crypto asset's adoption.** A central variable in determining the future adoption and development of stablecoins is the degree to which they are integrated into existing payment systems. Greater integration not only increases accessibility for a broader range of customers but also improves the ease of use. This is especially relevant as

stablecoins are still mainly used in the crypto landscape and by digitally savvy users.

Banks could therefore support the adoption of stablecoins for retail, day-to-day payments by integrating the asset into their digital systems or creating their own tokens, adding it as a new payment rail. Several examples in the EU and the US show the role banks can play in issuing their own stablecoins, defending their place in the payment landscape, even when it comes to new technologies. By issuing their own stablecoins, banks could also avoid losing client relationships and reduce the risk of becoming commodity providers for new payment issuers. Beyond this, banks a
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Potentially significant implications, but banks are unlikely to surrender ground to fintech stablecoin issuers

The broad adoption of stablecoins could have a significant impact on European banks. These range from a net drop in retail deposits or a shift towards wholesale funding to greater concentration and spillover risks, as well as an overall negative effect on credit provision and potentially banks’ business models.

While it remains important to continue exploring these risks as stablecoin use grows, it's also crucial to highlight that the banking sector has tools at its disposal to not only counter them, but also benefit from the underlying technology. Indeed, one should not expect the "traditional" financial sector to simply stand aside as crypto assets continue to gain traction.

Despite significant growth over the past five years, stablecoins remain far from reaching widespread adoption. In our previous publication (read more here), we identified several factors that could shape their future. For banks, the key question is how to compete with the benefits stablecoins offer. The sector is already

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CLARITY Act, potentially allowing stablecoin issuers to directly distribute remuneration to holders. This would be a world first and a major shift in the regulatory treatment of the crypto asset, opening the door to similar changes in other countries.

While the upcoming regulatory changes could alter the potential impact of stablecoin adoption on the banking sector, we should not expect banks to surrender ground to fintech stablecoin issuers without a fight.

Fintech | Cryptocurrency | Banks

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